

According to a PwC report, UPI is expected to account for 90% of all digital payments in India by 2027. With over 900 million mobile users and affordable internet access, approximately 400 million individuals actively use UPI today.

— KAUSHIK MUKHERJEE
super.money

This dynamic convergence of services presents an ecosystem where the strengths of both UPI and credit cards could coexist. While UPI may further reduce the necessity of credit cards for low-value and routine transactions, credit cards retain an important niche for larger expenditures, travel, and international dealings. As Arindam Ray points out, "Both payment methods cater to different needs and offer unique advantages... Credit cards provide a crucial feature that UPI lacks: revolving credit." Thus, rather than replacing credit cards entirely, UPI is likely to carve out its own space in the financial landscape while coexisting with credit facilities.

Adding another layer to this narrative, Kiran Nambiar, Founder of MyFi, underscores the transformative potential of artificial intelligence in the payments space. Nambiar envisions a future where AI not only enhances transaction security but also revolutionizes how we manage recurring payments and personal finances. He observes, "UPI has completely changed the way India transacts, making digital payments effortless for millions... But as digital payments continue to grow, the next big shift isn't just about speed; it's about making transactions smarter,

safer, and more intuitive and that's where AI steps in." This perspective suggests the idea that the evolution of UPI is not solely about speed or convenience, but about intelligent integration of technology for enhanced user experience.

Nambiar continues, "Imagine a world where most of your recurring spends on bills, rent, etc. are taken care of by your personal virtual assistant... This can be a reality within the next 3-5 years." His vision underscores the potential for UPI to further disrupt traditional financial practices by leveraging AI to deliver customized, intuitive financial management solutions. As AI continues to mature, the payments landscape could witness a revolution in fraud prevention and personalized transaction monitoring, ensuring that digital payments are not just fast, but also smart.

While these innovations are promising, it is clear that the traditional advantages of credit cards – such as global acceptance and robust reward programs – continue to anchor them in the financial ecosystem. Even as UPI integrates cutting-edge technologies and expands its reach, credit cards remain indispensable for certain types of transactions. Ray's analysis encapsulates this balance: "While UPI may

reduce credit card dependency for small payments, credit cards will likely remain essential for high-value purchases, financial flexibility, and global transactions." The coexistence of UPI and credit cards, therefore, paints a picture



of a multifaceted payment ecosystem where each method serves distinct consumer needs.

Moreover, the future of UPI isn't confined solely to domestic borders. With its scalable and secure infrastructure, UPI is set to expand globally, facilitating cross-border transactions and remittances with ease. Mukherjee highlights this international potential by noting, "On the global front, UPI is well-positioned to integrate with various payment ecosystems, collaborating with fintech players worldwide to encourage adoption." This global integration could eventually lead to UPI-powered international transactions, further cementing its role in a rapidly globalizing digital economy.

In blending these advanced technologies with innovative lending solutions, UPI is on track to redefine the contours of digital payments yet again. Maiya's assertion that the integration of lending services marks "another UPI moment in lending" hints at an emerging paradigm where digital payments and credit converge to offer an all-encompassing financial service. The future may hold a unified platform where consumers can seamlessly switch between everyday payments, instant credit, and even personalized financial advice – all under the UPI umbrella. 

Key trends shaping UPI's future include its expansion into rural and international markets, the integration of credit-linked UPI products, enhanced security features, and increased business adoption. As fintech companies explore UPI-based credit models, the gap between UPI and credit cards could narrow.

— ARINDAM RAY
Maveric Systems